

A Pragmatic Path for Ontario's AI Talent

Why Preserving Graduate
Immigration Streams is Critical
for Our Economic Future

A Comment on Proposal 25-MLITSD019: Proposed amendments
to regulations under the Ontario Immigration Act, 2015



Our Shared Goal: Securing Ontario's Leadership in the AI Economy

Artificial intelligence is changing work in every sector. To lead, Ontario needs people who can turn AI and data tools into real improvements in businesses, public services and everyday workflows.



We need more than just researchers in big labs.



We need practical builders who help Small and Medium-sized Enterprises (SMEs) adopt AI.



We need innovators who can raise productivity across the entire economy.

Ontario's Graduate Students are a Low-Risk, High-Return Strategic Asset

Pre-Vetted:

Screened for education, language, and adaptability.

Integrated:

Many are already working with local SMEs on short projects and part-time roles, sharing skills widely.

Retaining Ontario-trained graduates is a **low-risk, high-return** strategy that supports innovation, productivity, and long-term tax revenue.

Invested:

Have already committed significant time and money to study in Ontario.

Highly Mobile:

Predictable and fair immigration pathways are critical to retaining this globally sought-after talent.

The Threat: Proposal 25-MLITSD019 Puts This Strategic Asset at Risk



Eliminating graduate streams without a realistic replacement and without transitional protection will weaken Ontario's competitiveness in the AI era.

Proposal 25-MLITSD019 would consolidate eight OINP streams, effectively removing the independent, non-employer-driven pathways for master's and PhD graduates.

The Ripple Effect: Widespread Damage Across Ontario's Ecosystem



Province & Taxpayers

Closing these pathways reduces future innovation capacity and long-term tax revenue from high-earning graduates.



Employers (SMEs)

Smaller employers who rely on flexible, project-based talent will lose access to a vital skill pool, as graduates are forced to seek single, full-time sponsors.



Universities & Ontario's Reputation

Removing a key incentive for graduate studies damages Ontario's reputation as a predictable and trustworthy destination, impacting future international student recruitment.



International Graduates

Tying immigration status almost entirely to one employer increases vulnerability, making graduates less likely to leave bad jobs or negotiate fairly, undermining worker protection goals.

Flaw #1: Forcing Innovation into a Rigid, Employer-Driven Funnel

The Flawed Assumption

The proposal assumes the only way graduates create value is through a single, stable, full-time job.

The Reality

Many master's and PhD graduates actually create value through contract work, startup projects, research collaborations and community teaching that does not map neatly onto a single employer-driven job offer.

When immigration options depend almost entirely on one employer, graduates become less willing to change jobs, negotiate fairly or report workplace problems. That is directly at odds with the worker protection goals behind recent OINP reforms.



Flaw #2: The Low-Wage Provision Actively Encourages "Brain Waste"

The Provision: The proposed Employer Job Offer (EJO) stream may allow recent Ontario graduates to qualify with a low-wage offer.

The Dangerous Risks



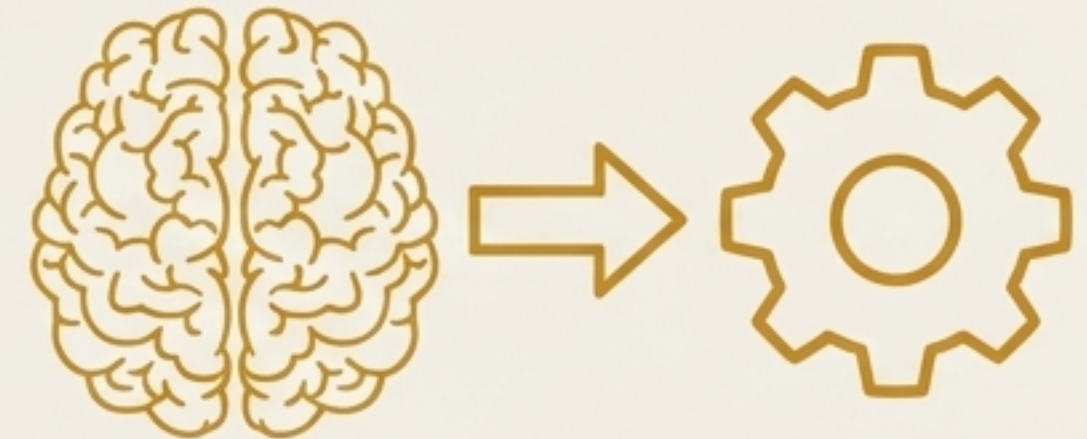
Underemployment ('Brain Waste'): It encourages placing master's and PhD graduates in roles that do not use their advanced skills.



Perverse Incentives: It creates a system where employers can offer low-wage positions structured as an "immigration ticket" rather than a genuine investment in talent.



Increased Vulnerability: It compels graduates to accept and stay in poorly paid or unsuitable roles simply to maintain their immigration pathway.



Flaw #3: The New 'Strategic Streams' Are Not a Realistic Replacement

For most graduates in AI and technology, the three new streams do not replace the current Masters Graduate Stream.



Priority Healthcare Stream

Correctly focused on regulated health professionals, but not applicable to tech talent.



Entrepreneur Stream

Targets established business operators, excluding early-stage founders building prototypes or working in incubators.



Exceptional Talent Stream

Targets those with major awards or patents, missing the early-stage builders who are contributing to the ecosystem before they are famous.

This leaves a significant policy gap, losing the very talent that drives grassroots innovation.

The Proposal Puts Ontario Out of Step with National Priorities

Federal & National Trend



Federal Government: Exempting master's and doctoral students from the national study permit cap, recognizing them as a priority group.

Business Leaders (e.g., Tobi Lütke, Shopify): Proposing to reward immigrants for Canadian education and ongoing contributions.

Ontario's Proposed Direction



Proposal 25-MLITSD019: Removing the main provincial pathway that recognizes and retains this exact group.

This misalignment risks a brain drain as top talent chooses provinces and countries with more supportive policies.

The Proposal Breaks a Foundational Trust with Current Students

Many current students decided to study in Ontario one or two years ago with the reasonable expectation that the OINP Masters Graduate Stream would remain in place at graduation.



This “changes the rules midway through our programs.”

This is not a request for special treatment. It is a request that Ontario honour the reasonable expectations created when students committed to multi-year degrees in this province.

A Case Study in Contribution: The "Early-Stage Builder" Profile

Master of Engineering, Technology Innovation Management, Carleton University.

Demonstrated Contributions Since 2024



Built Practical AI Tools: Real Speaking, JoeSlides, IELTS Speaking Simulator, Literature Screening Assistant.



Shared Knowledge: Delivered talks at Carleton University and local tech meetups.



Supported Local Business: Worked directly with SMEs to help them implement AI tools.

This work happens **across multiple organizations**: startups, university labs, small businesses, community groups. It does not fit neatly into a single employer relationship.

The Path Forward: A Pragmatic, Three-Part Solution

Ontario can align its immigration program with its economic goals in the AI era. We urge the Ministry to adjust Proposal 25-MLITSD019 with the following constructive changes.



1. Preserve an Independent Pathway



2. Ensure Fairness & Accountability



3. Design New Streams for Future Builders

Recommendation 1: Preserve a Clear, Independent Pathway for Graduates

The Ask: Maintain a dedicated stream for Ontario's master's and PhD graduates that does not depend entirely on a single employer job offer.

Why It Is Essential

- ✓ **Recognizes Diverse Contributions:** It accommodates talent working on startups, multiple contracts, and community-based projects.
- ✓ **Reduces Worker Vulnerability:** It allows graduates to negotiate fairly and leave unsuitable jobs without risking their immigration status.
- ✓ **Retains Top Talent:** It provides the stability needed for 'builders' to focus on innovation rather than being solely focused on securing a sponsoring employer.

Recommendation 2: If Changes Proceed, Ensure Fairness and Accountability

Provide Robust Transitional Protection

Action

'Grandfather' all master's and PhD students who started their programs before the new rules take effect, allowing them to qualify under the existing streams.

Rationale

To honour the commitments and reasonable expectations of current students.

Commit to Transparent Review

Action

Publish a detailed impact analysis of the proposed changes and commit to a formal, public review of the new system's outcomes within 2-3 years.

Rationale

To ensure the program is meeting its stated goals without unintended negative consequences.

Recommendation 3: Design New Streams for the 'Builders' of Tomorrow

If creating new Entrepreneur and Exceptional Talent streams, design them to recognize early-stage contributors.

Specific Suggestions for Criteria

- ✓ **For the Entrepreneur Stream:** Recognize participation in recognized incubators/accelerators and evidence of real traction (e.g., pilots, early revenue), not just established businesses.
- ✓ **For the Exceptional Talent Stream:** Allow for evidence of exceptional local impact, such as leading projects that help Ontario firms adopt AI, not just major international awards or patents.

Let's build a system that retains and supports the graduate talent that is already here, working to build Ontario's future.